When the clashes ended, American embassy officials reported back that "Indians [are] confident they had the best of the incident." There was a sense of relief within and outside the US government—not just because the skirmishes had remained limited but also because of India's military and diplomatic performance. Intelligence briefings to members of Congress acknowledged that Sino-Indian border incidents "could flare up at any time." There was more confidence in India's capabilities, however, as well as a sense that China was unlikely to undertake a major attack at that time. There was nonetheless a concluding assessment: the clashes would do nothing to ease Indian concerns about China and, in particular, "growing Indian fear of Chinese nuclear capabilities could eventually force India to build its own bomb."

By 1968, when there was another review of military supply policy, India no longer seemed likely to fall on Johnson's watch. Thus, while policy planning officials acknowledged that there was "a case for loosening up our military supply policy, especially within the context of the China-India relationship," they felt that "in terms of Indian defense, the need does not now seem compelling."[172]

Reducing Dependence

By the second half of 1967, India was looking to the US less than it had in the past for assistance. In terms of food production, agricultural reforms, assisted by the weather, were showing results. The government was also better able to purchase food grains commercially. On the security front, the creditable performance by the Indian military in the autumn skirmishes with Chinese troops buoyed the government's confidence. Domestically, Gandhi started moving toward the left and continued to do so over the next few years to strengthen her weak political position.[173]

India did still need some help from the US, but, given the changing American attitude, Gandhi's government realized that it could not rely on the US in the medium to long term, or even in the short term, to help India with its China problem. This led to Indian efforts on a few different fronts. First, India continued to develop its domestic capacity in both the defense and development realms.[174] Second, to continue to diversify its dependence, the Indian government maintained its relationship with the Soviet Union. Third, India tried to reinvigorate its relations with middle powers,